

INSTITUTE OF BUSINESS MANAGEMENT
College of Business Management
Accounting & Finance Department

Spring Semester, 2026
(Course: FM)

Topic: Hybrid Financing (CLO-3) (5 Marks)

Brightway Logistics is planning to acquire a new delivery truck. The company has two options:

Option 1: Lease the Truck

Lease Term	Annual Lease Payment	Payment Timing	Maintenance
4 years	\$10,000	Beginning of each year	Included

Option 2: Purchase the Truck

Purchase Price	Loan Term	Interest Rate	Maintenance	Tax Rate	Salvage Value
\$40,000	4 years	10% per year	\$1,000 per year	40%	\$10,000 after 4 years

The truck falls under the **MACRS 3-year class**, with the following depreciation rates:

Year 1	Year 2	Year 3	Year 4
33%	45%	15%	7%

Brightway Logistics plans to replace the truck after 4 years, regardless of whether it leases or purchases the truck.

Required

- a. Calculate Brightway Logistics' present value cost of leasing.
- b. Calculate Brightway Logistics' present value cost of owning. Based on your answer, should the truck be leased or purchased?
- c. The appropriate discount rate for Brightway Logistics' analysis is the firm's after-tax cost of debt. Explain why.